

The China-US AI Race Enters a New (and More Dangerous) Phase

A new tech cold war is underway — and accelerating.

By Marina Yue Zhang

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Three events in May 2025 confirmed that the rivalry between the United States and China over artificial intelligence has entered a new and more dangerous phase. First came a Senate hearing titled “[Winning the AI Race](#),” where U.S. lawmakers aired concerns that the United States’ lead over China was eroding fast. Then came a sweeping U.S. [ban](#) on Huawei’s Ascend AI chips, extended globally. Finally, Donald Trump, in his second term as president, visited the [Middle East](#) to sign expansive AI chip deals with key regional allies.

Together, these milestones signal a shift in the AI race from strategic containment to bloc formation. This is no longer a contest over AI models alone, but over standards, adoption, and the architecture of global digital ecosystems.

On May 8, executives from OpenAI, Microsoft, CoreWeave, and AMD testified that the U.S. lead over China in AI had narrowed to mere months. Early in the year, China’s [DeepSeek](#) model – developed on a shoestring budget yet competitive with advanced AI models from U.S. firms – shocked many in Washington. Witnesses echoed this sentiment, comparing it to an “[AI Sputnik moment](#),” evoking the Cold War anxiety triggered by the Soviet satellite

launch in 1957. While the United States continues to lead in breakthrough innovation, its ability to scale is [lagging](#). For example, a 400-megawatt Microsoft data center in Wisconsin has been [delayed](#) for years due to environmental compliance. By contrast, China can deploy similar infrastructure within months, supported by lower energy costs and centralized coordination. As OpenAI's Sam Altman [observed](#), the future of AI may depend less on raw intelligence than on electricity.

On May 13, hours after agreeing to a 90-day [pause](#) in trade hostilities with China, the U.S. Commerce Department [declared](#) that global use of Huawei's Ascend chips would violate American export rules. The move effectively extended U.S. export control authority worldwide. While not a criminal offense under foreign jurisdictions, the ban exposes users to [penalties](#) such as loss of access to U.S. technology or placement on trade blacklists. This move marked a [pivot](#) from tariff skirmishes to technological embargoes – an escalation dressed in the language of national security.

Days later, Trump [toured](#) the Gulf and offered a selective reprieve. Washington agreed to ship high-performance chips to the UAE , Saudi Arabia, and Qatar, [reversing](#) Biden-era

restrictions. In return, these countries promised to build [data centers](#) based on U.S. technology standards. The Middle East, flush with capital and cheap electricity, is being [positioned](#) as a fallback compute zone should East Asia become unstable. [Joint ventures](#) like OpenAI's Arabic-language LLM with G42 show how middle powers are being drawn into the fray – as participants, not just observers.

These independent events underscore an interconnected effort, reflecting deeper concern from the U.S.: China is no longer merely catching up in AI performance; it is increasingly setting the pace and shaping the rules. The United States is not going to let this happen.

Capital, Talent, and the Scientific Frontier

Indeed, hardware is only one part of the equation in the AI race. The Senate hearing also exposed a softer underbelly: capital and talent. Senator [Dan Sullivan](#) flagged the flow of U.S. venture funding to Chinese AI startups via offshore accounts – money that fuels potential adversaries. More importantly, AI has become a Cold War over minds as much as machines. U.S. immigration [barriers](#) and unpredictable research funding are pushing elite AI talent to friendlier shores. Singapore

and Abu Dhabi have become magnets. China, by contrast, is [reversing](#) the brain drain.

China's recruitment playbook – offering prestige, intellectual freedom, and a sense of national mission – is paying off. A growing number of Chinese-origin scientists at firms like Google and OpenAI are returning home. Domestically, institutions like Tsinghua University's [AI Institute](#), led by Turing laureate [Andrew Yao](#), have emerged as talent incubators. Known as "[Yao Ban](#)," the program blends rigorous theoretical training with early exposure to applied research. Its alumni populate the ranks of Chinese unicorns like AI start-ups [Megvii](#) and [Pony.ai](#).

The U.S. still [leads](#) in basic research, dominating in top-cited AI papers, while China leads in total publication volume. But China is outpacing in AI applications, now accounting for over [70 percent](#) of global AI patent filings and embedding models across Belt and Road countries, from ports to power grids. Over time, ubiquity may rival originality.

Huawei's [Ascend 910C](#) chip captures this turning point. Comparable to top U.S. offerings, it powers massive systems like the [CloudMatrix 384](#). Its strong performance and ability to run efficiently with more modest hardware make it ideal for large-scale AI

tasks. By tightly integrating its chips with AI software, Huawei has created a homegrown alternative to U.S. platforms – especially appealing to countries excluded from Western technology networks.

Historically, scientific progress has thrived on international partnerships, especially in scientific frontiers. In fact, research partnerships between the United States and China remain the largest globally – more than twice as numerous as the next leading country pair. However, since 2016, a China-U.S. “dual-core structure” has crystallized, hardened by restrictions on talent mobility, curtailed research exchanges, and widening ideological divides amid an escalating tech rivalry.

Accelerating the AI Cold War: From Multipolar Hopes to Bipolar Realities

The race between the two leading AI great powers is no longer a battle about gadgets or growth markets. It is a global contest over who builds, governs, and controls the digital world. Infrastructure is no longer neutral – it is ideological.

For now, the U.S. and its allies may benefit. In the short term, the Huawei ban has snarled supply chains and created compliance uncertainty. But the long game looks far murkier. China is cultivating a self-reliant AI

ecosystem, especially across the Global South. Countries like Indonesia are emerging as swing states, courted by both sides and constrained by neither. The world is dividing not just by values, but by compute capacity, regulatory regimes, and software lock-ins. Infrastructure projects in Africa, Southeast Asia, and the Gulf are caught between competing rulebooks.

With the AI Cold War accelerating, the geopolitical fallout is unfolding across time horizons. In the medium term, a bifurcated system is emerging. One revolves around ARM, NVIDIA, and Western data norms; the other coalesces around Ascend and alternative architectures such as [RISC-V](#), developing their own AI governance frameworks.

Trade dialogues may invoke cooperation, but the reality is an arms race in infrastructure and influence. Trump's "chip diplomacy" has turned data centers into geopolitical fault lines. In the long run, technology alliances may begin to resemble defence pacts. Access to compute and algorithms will hinge less on merit than on geopolitical alignment.

Institutions like the World Trade Organization, already weakened, risk being sidelined by rival tech blocs. The global map is

being redrawn – not by territorial borders, but by data flows and infrastructure grids.

There will be no singular winner in the AI cold war. Countries must now choose not just which chips they buy, but whose rules they follow. Non-alignment is becoming untenable. From Australia to ASEAN, governments are being nudged toward one bloc or another.

One thing is clear: the ideal of a cooperative, multipolar tech landscape is giving way to a hardened bipolar contest. The AI race is no longer only about who innovates fastest. It is about who governs, who sets the rules, and who can entice others to follow. The two giants leading this race may be creating more confusion than clarity for the rest of the world. The result is higher costs, fragmented standards, and diminishing space for neutrality in AI governance.

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